

1 - Organisational culture



Do Now

You walk into two companies on your first day:

- **Company A: Everyone wears suits, uses formal titles, and sticks to strict rules.**
- **Company B: People wear jeans, call the boss by their first name, and share ideas freely.**

What impression do you get about each workplace?
Which would you prefer to work in, and why?



Learning Outcome

By the end of the lesson you will be able to explain the difference between strong and weak corporate cultures and their impact on business performance

To Know



- I know what is meant by corporate culture.
- I know the characteristics of a strong culture (e.g. shared values, high engagement, clear identity).
- I know the characteristics of a weak culture (e.g. lack of direction, low motivation, inconsistency).
- I know the impact of culture on employee behaviour, decision-making, and performance.
- I know the advantages and disadvantages of having a strong or weak culture in different business contexts.

What is Organisational Culture?

Although most of us understand in our own minds what is meant by an organisational culture, it is a slightly woolly concept that is hard to define precisely. We know (and can often sense) a "culture" exists when we visit a business as a customer or work there, but how can this be explained?

A great way to describe business or corporate culture is:

"The way we do things around here"

the way we do things around here

Culture consists of factors such as:

- The shared values of a business
- The beliefs and norms that affect every aspect of work life
- The behaviours typical of day-to-day behaviour

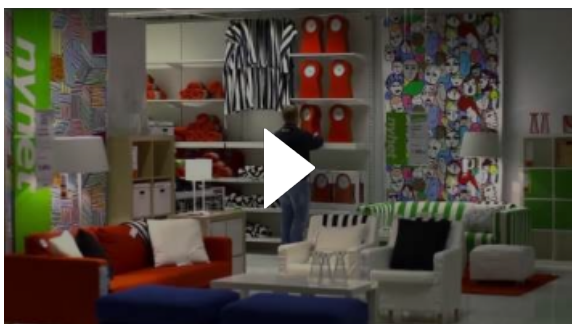
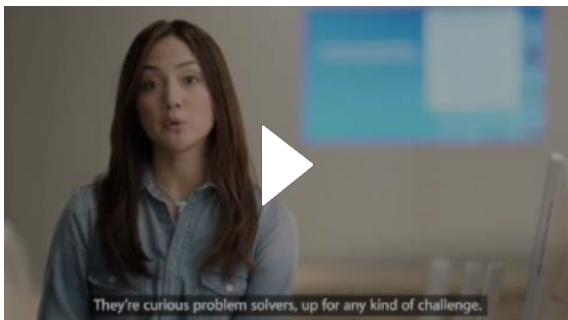
Therefore, it is defined as:

Corporate culture is the shared values, beliefs and norms of a business that affect every aspect of work life

The culture of a business is reflected in many ways – including the following:

- The leadership style – e.g. autocratic, laissez-faire
- The methods used for communication - e.g. significant use of platforms such as Microsoft Teams.
- The organisational structure e.g. tall v flat, centralised v decentralised
- The dress code
- The office layout e.g. open plan usually suggests a more relaxed environment
- Incentives and rewards for staff
- Training and development of staff
- Work life balance

Strong v Weak Culture - Apple and Ikea



When you visit a range of businesses you soon get a sense of the strength of the business culture. If a culture can be measured as either 'Strong or Weak' then how might this show itself?

Signs of a strong organisational culture include:

Evidence that points to a weak organisational culture include:



Extract A

Dunelm: The Home of Homes

We are the UK's number one retailer of products for the home. We offer our customers great products to improve every room in their home. We have a number of distribution methods including 170 superstores, two high street stores and our website, Dunelm.com. We focus on style, quality and value and are always working hard to help our customers to create a home they love.

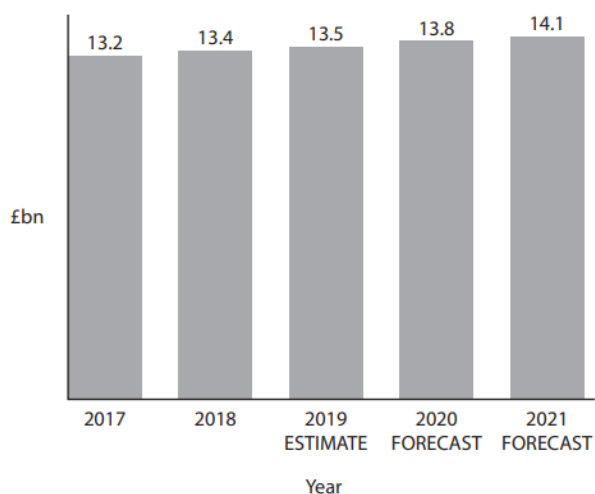
5

- Over 30,000 products in store
- Over 55,000 products available online
- Over four and a half million customers visit our stores and website each week
- Made to Measure curtains and blinds service including home fitting
- Our own Home Delivery fleet of vans
- Reserve and Collect service in store

10

Extract B

UK Home products market size (£bn) 2017–2021



Extract C

Selected financial data for Dunelm ending June 2019

[Table content]

	(£m)
Revenue	1 100.4
Operating profit	126.9
Non-current liabilities	81.5
Total equity	185.8

Extract D

The Dunelm family

We want *Dunelm* to be a great place to work and we treat all our employees as family. This means that the hard work of our 9,000 employees make *Dunelm* a wonderful place for customers to shop. To maintain this, we reward all our employees in different ways.

- Pay rates above UK National Minimum Wage 5
- Regular employee and management meetings
- A weekly topical email and our quarterly Gazette
- Empowering female leaders programme
- Access to mentors
- Flexible working 10
- Employees can buy *Dunelm* shares at a discount

Extract E

Culture and the Board of Directors

Our culture comes from our founders, the Adderley family, who are still the majority shareholders. This makes a big difference to our culture which is open and honest, reflecting the values of our founders. We are committed to our suppliers and making *Dunelm* a great place to work for our employees. We have rapidly grown in the UK but have ensured our culture has been retained as the business has become more complex. 5

We maintain our corporate culture and principles by our leadership team and members of the Board of Directors acting as role models. All employees are given training in terms of how they treat employees, customers and our suppliers.

Our corporate culture is monitored formally by the Board of Directors twice a year on a 'culture scorecard'. The Board reviews a number of 'culture' indicators, such as employee and customer satisfaction scores and accident statistics. 10

(e) Assess the extent to which *Dunelm*'s corporate culture contributes to its success.

(12)



Affirmative Checking

Define Key term:	
Paragraph 1 POINT	One ... is.... This is because...
IMPLICATION/S	Consequently/This means/This will lead to...
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Therefore... As a result, ...

